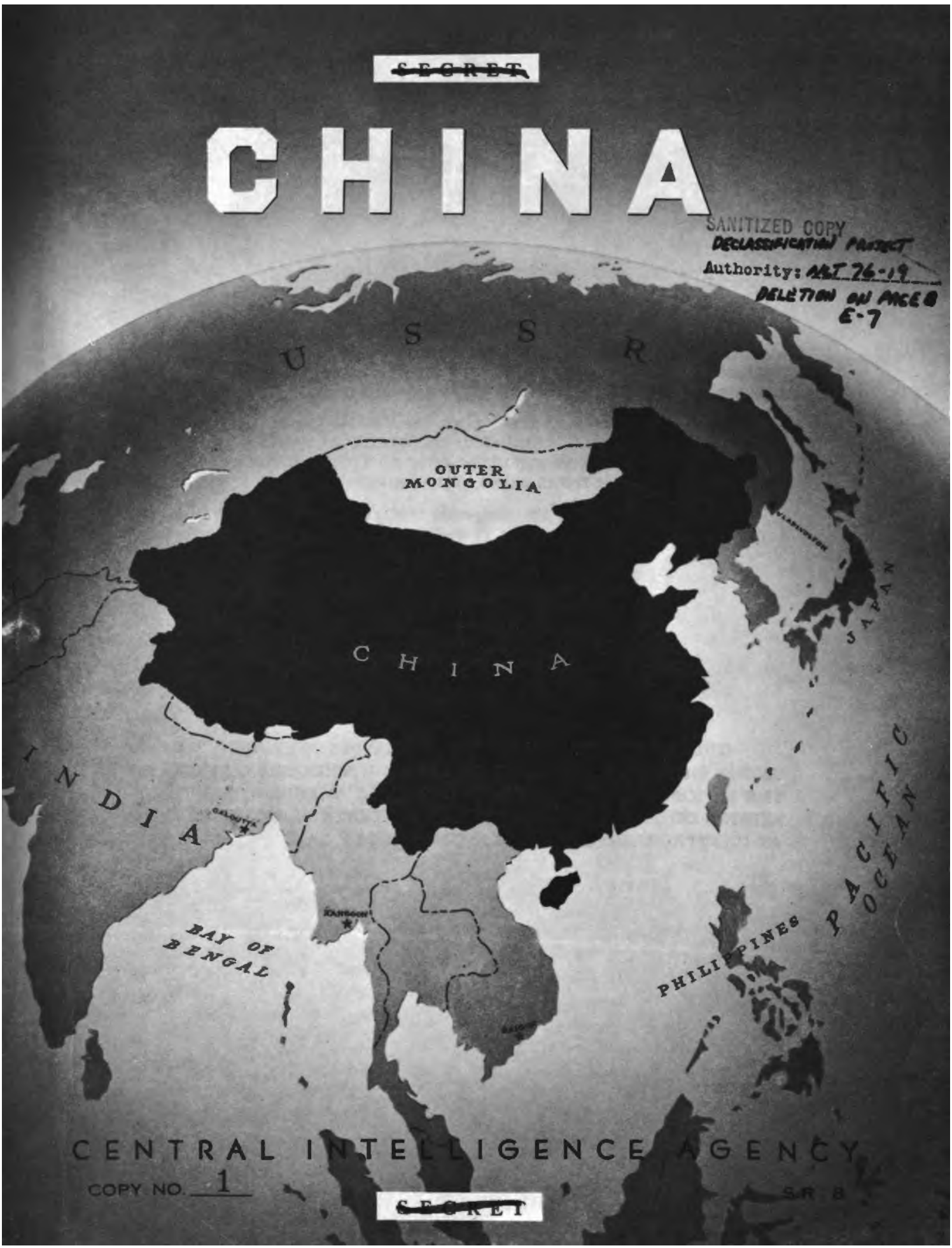
~~SECRET~~

# CHINA

SANITIZED COPY
DECLASSIFICATION PROJECT
Authority: NND 76-19
DELETION ON PAGE 8
E-7




CENTRAL INTELLIGENCE AGENCY

COPY NO. 1

S.R. 8

~~SECRET~~

This (SR) series of CIG Situation Reports is designed to furnish to authorized recipients, for their continuing use as a reference, analyses and interpretations of the strategic or national policy aspects of foreign situations which affect the national security of the United States.

In the preparation of this report, the Central Intelligence Group has made full use of material furnished by the intelligence agencies of the State, War and Navy Departments and of the Army Air Forces. These agencies have also concurred in this report unless otherwise noted.

It is suggested that the recipients retain this report, since it will be reviewed and, if necessary, revised in whole or in part each month hereafter.

## WARNING

THIS DOCUMENT CONTAINS INFORMATION AFFECTING THE NATIONAL DEFENSE OF THE UNITED STATES WITHIN THE MEANING OF THE ESPIONAGE ACT, 50 U.S.C., 31 AND 32, AS AMENDED. ITS TRANSMISSION OR THE REVELATION OF ITS CONTENTS IN ANY MANNER TO AN UNAUTHORIZED PERSON IS PROHIBITED BY LAW.

## SECTION I

## POLITICAL SITUATION IN NATIONALIST CHINA

The present Government of China is an oligarchy, purportedly moving in the direction of political democracy. Actual power rests in the hands of a few individuals and groups, prominent as military men and as leaders in the Kuomintang or Nationalist Party. Similarly, the Chinese Communist Party, which opposes the National Government in civil war and controls approximately one-fifth of China, is dominated by a small number of its Party elite and Chinese Red Army generals. In this oligarchical setting, political power depends on military support. A party without its own armed forces, or an individual who cannot command the support of an army, is relatively impotent.

### 1. Genesis of the Present Political System.

The political system which is now evolving in China is in a fluid state, and is unlikely to attain any real stability until the end of the present civil war. While it bears some resemblance to Western democracy, it retains a strong element of authoritarianism, which is consistent with traditional Chinese concepts and institutions.

#### *a. Government under the Manchus.*

The old imperial system under the Manchu dynasty survived into the twentieth century and was finally overthrown only in 1911, within the lifetime of China's present leaders. This old system was characterized by a hierarchical administrative structure, with the Manchu emperor the sole source of authority at the top. He ruled through a body of officials bound to him by ties of personal loyalty, indoctrinated in them by their intensive study of the Confucian classics, which stressed loyalty to the ruler.

In the imperial system there was no government *by* the people, but the emperor ruled *for* the people, and, according to Confucian teachings, in their interest and with their tacit acquiescence. He bore complete responsibility for natural disasters and other calamities which befell them, and when these became especially severe, it was apparent that he had lost the mandate of heaven from which he derived his authority. In such circumstances, Chinese political theory recognized the right of the people to overthrow him by revolution.

During the nineteenth century, the Manchu empire went into a decline which ushered in a revolutionary period comparable to those which, earlier in Chinese history, had marked transition from the rule of one dynasty to another. This period of deterioration was marked in external relations by a series of unsuccessful wars, paralleled by a steady encroachment by foreign powers on the territorial integrity and independence of China. The British victory over China in the Opium War of 1839-42 resulted in the first unequal treaties imposed on China and opened the country to foreign trade. In a subsequent conflict with the British and French in 1858-60, the Manchu dynasty was temporarily driven from its capital in Peking, but the complete weakness of the

shelved reconstruction projects, while communications in North China and Manchuria are constantly disrupted with attendant industrial stagnation in these areas. In many parts of China supplies of raw materials and foods are short, largely because of a faulty transportation and distribution system. Both internal and foreign trade have declined sharply.

These weaknesses have resulted in general economic insecurity which is sapping the strength of the National Government and undermining the morale both of top officials and of the rank and file of civil servants. This feeling of insecurity, together with virtually uncontrolled inflation, is a major cause of the corruption which is so prevalent throughout the government. Economic deterioration, evidenced by a rapidly depreciating national currency, is also attacking the vitality and morale of the Nationalist armed forces.

Material economic improvement appears to require a vigorous internal reform program in the political, military and economic fields, together with substantial aid from abroad to support the currency and to facilitate reconstruction. The National Government eagerly seeks foreign aid from the US, but without effective implementation of proposed reforms. On the other hand, the Communist Party opposes all foreign aid to the present National Government and threatens that any new loans, as well as obligations incurred since January 1946, will be repudiated whenever a new non-Kuomintang government comes to power. In a somewhat more moderate stand, the Democratic League through its spokesman, Lo Lung-chi, insists that any measures of foreign aid be deferred until the end of the civil war.

5. Separatism and Warlordism.

As the power and prestige of the National Government declines, there is an increasing tendency for areas on the periphery of China to achieve some degree of local autonomy or independence. Separatist developments among non-Chinese peoples have existed for some time on the northern frontier of China. Nanking's preoccupation with its war against the Communists precludes any vigorous action to check these developments. Ultimate loss of such areas, however, would not in itself bring about the disintegration of China, inasmuch as few if any Chinese are involved. On the other hand, potential secession movements involving the Chinese populations in Taiwan (Formosa) and South China are a much more serious concern for the National Government.

*a. Separatist Movements along the Northern Frontier.*

Among the Mongol and Turki peoples on the northern frontier of China, there is quite general dissatisfaction with rule by the Chinese, who both in history and at present have proved incapable of handling minority groups in a conciliatory manner. After the revolution of 1911, Outer Mongolia broke away, in fact, from the control of the new Republic, and in 1946, the Nanking Government formally recognized the existence of an independent Mongolian People's Republic. Independence for the Mongols in Outer Mongolia in turn has had a strong attraction for other Mongols in northwest Manchuria, in Inner Mongolia (the provinces of Chahar, Suiyuan and Ningsia) and Jehol. In the eastern part of this area, autonomous Mongol movements are developing with the friendly support of the Chinese Communists, who bar the National Government from intervention in this region.

Further westward, an acute minority problem exists in Sinkiang, where the Chinese constitute no more than 10 percent of the population. The non-Chinese peoples of Sinkiang, long oppressed by their Chinese rulers, are attracted to related peoples across the border in the Soviet Union. That part of the province west of the Manass River is controlled effectively by a rebel Turki group, and there has been extensive Soviet economic and political penetration of this region, which is now, in effect, an autonomous state with pro-Soviet orientation.

*b. Discontent in Taiwan.*

Insurrections on the island of Taiwan, in February and March 1947, were vigorously suppressed, but a revolutionary movement is brewing underground. Taiwanese Chinese have developed an intense hatred for their mainland rulers, during two years of inefficient and corrupt government. While at present the Taiwanese lack the arms and organization necessary to stage a successful revolution, a further weakening of the National Government, coupled with withdrawal of troops, would create a situation favorable for an independence movement. A significant body of opinion in Taiwan, which is under *de facto* Chinese rule until the island's status is finally determined by a Japanese peace treaty, hopes that the area will not be placed directly under Chinese sovereignty but administered by the UN, the US, or a group of international powers.

*c. Secession Tendencies in South China.*

The South China provinces of Kwangtung and Kwangsi have repeatedly exhibited revolutionary and secessionist tendencies. In 1931, the authority of the National Government at Nanking was challenged by a new but short-lived independent government at Canton. Again in 1936 an unsuccessful armed revolt was staged by the Kwangsi generals, Li Tsung-jen and Pai Chung-hsi. After the allegiance of these two generals to the National Government was re-established, they were removed from South China by Chiang Kai-shek, and at present Li Tsung-jen is head of the Generalissimo's headquarters at Peiping while Pai Chung-hsi is Minister of National Defense. Their names, however, continue to be linked with possible separatist movements in Kwangsi and Kwangtung.

In recent months, popular unrest has been on the increase in the South. Nearby Hongkong, a refuge and a propaganda base for discontented elements, has become the center of intense political activity. The most outspoken opposition to the National Government stems from a disaffected group in Hongkong led by Marshal Li Chi-shen, veteran Kwangtung military leader and once Kuomintang chief of staff. Because of his public outbursts against the National Government, Li was expelled from the Kuomintang in August 1947. Although the group led by Li Chi-shen does not control military forces of its own, it is reportedly in contact with surviving Communist elements in Kwangtung and on Hainan Island.

The most powerful figure in South China is Chang Fa-kwei, director of the Generalissimo's Canton Headquarters. While Chang has showed no outward signs of disloyalty to the National Government, he was associated with separatist movements in the past, and has been agitating for the return of his troops, sent to the north. He is a potential leader of a South China independence movement.

The vulnerability of South China to separatist revolts has been increased by the withdrawal of troops for service in North China. At the present time, however, the chief potential troublemakers have either been removed from South China or stripped of troops which are personally loyal to them. These measures of the National Government are still effective deterrents to rebellion, which is unlikely to occur unless there is further weakening of the government at Nanking. The appointment in September 1947, of T. V. Soong as Governor of Kwangtung, appears to be a further move on the part of the National Government to check separatist tendencies in the South.

*d. Revival of Warlordism.*

In addition to these separatist tendencies, a revival of warlordism elsewhere in China is a disintegrating force. The warlord is a combination militarist and politician, with control over a private army, his chief source of strength. Usually such a leader finds a regional basis for his authority through holding the governorship of a province. In this position he usurps functions and authority which really belong to the National Government and rules in an autonomous manner, exercising complete control over political and economic life in his area. Some warlords, who have been progressive in outlook, have introduced reforms in their regions; but more frequently warlords are reactionary military men who exploit the people for their personal profit.

Shansi province, since 1912, has been under the virtually autonomous rule of the "Model Governor" Yen Hsi-shan, one of China's most powerful and influential warlords. At present his regime is threatened by Communist attacks on the one hand, and the desire of the National Government to undermine his power on the other but he at least has demonstrated sufficient strength to survive these unfavorable circumstances. Sikiang, since its establishment as a province in 1938, has been ruled by General Liu Wen-hui, an outstanding example of the old-style warlord governor. Called "the opium-vending governor," Liu encourages opium growing in his domain, but under the noble-sounding doctrine of "opium suppression," prevents anyone but his own men from handling the lucrative opium trade. In January 1947 a large-scale people's rebellion broke out against his corrupt regime, but Liu was able to quell this uprising by military force. The National Government has made no effort to remove him from office.

In Szechuan the Government's control is far from strong. Ex-warlords, although shorn of their military power, control the economy of the province and are using rice, opium and private banks as weapons to undermine the position of the governor, Teng Hsi-hou, also a former warlord. Rice has been withheld from the people, and the result has been riots among the local population.

Ningsia and Chinghai Provinces have been governed for more than a decade by General Ma Hung-kwei and General Ma Pu-fang, respectively, both of whom maintain regimes which are virtually independent of Nanking. In both the provinces of Kweichow and Yunnan, in China's southwest, actual power is in the hands of local warlords.

6. STABILITY OF THE NATIONAL GOVERNMENT.

National rule in China is due, in December 1947, to pass into the hands of a new constitutional government, following general elections in November and December.

# APPENDIX A
## TOPOGRAPHY AND CLIMATE

China occupies 3,700,000 square miles in eastern Asia, an area about one-fourth larger than that of the continental US. To the north lie Siberia and the Mongolian People's Republic (formerly Outer Mongolia); to the west is Russian Turkestan; and to the southwest and south the well-nigh impassable barrier of the Himalayas forms the boundary between Tibet and India. Burma and French Indochina border it on the south and the China and Yellow Seas on the east. China extends for 1,860 miles from north to south and for more than 2,500 miles from east to west. Its coast line, including indentations, is more than 5,000 miles long.

China has a wide latitude range. If the country were superimposed on North America, it would reach from Puerto Rico to central Quebec. The island of Hainan is about as far south as Puerto Rico, and Northern Manchuria is but 13° south of the Arctic Circle. Canton and Hong Kong are within the tropics, in the latitude of Havana. Shanghai is on the parallel of Savannah; and Chungking, farther west, is on that of San Antonio. Tientsin and Peiping are in the latitude of Washington; Mukden in that of Albany; and Harbin in that of Montreal. The most important areas of China are somewhat farther south than the most populous parts of the US.

China is composed of 34 provinces (which include the nine that were formed from the three provinces of Manchuria) and the special territory of Tibet. In addition, Taiwan (Formosa) is in effect a province of China, but *de jure* sovereignty over this island is to be established by the Japanese Peace Treaty. Nanking is the seat of the National Government.

In 1936 China's estimated population was 456,985,475, or more than three times that of the US. Kiangsu Province, in which Shanghai is situated, is more densely populated than any comparable political unit in the world, having a population density of 872 to the square mile. China is essentially agricultural; but it is also potentially one of the foremost coal countries in the world, with reserves estimated at 250 to 300 billion tons.

*a. Topography.*

China may be divided into three primary geographic areas: (1) North of the Yangtze River, (2) South of the Yangtze, and (3) West China. These comprise seven great topographic regions that are discussed below under the primary area in which they are contained.

(1) *China North of the Yangtze River.*

*Region 1.* The Manchurian Plain and Bordering Uplands.

The Manchurian Plain occupies central Manchuria and is 138,000 square miles in area, with its greatest length from north to south measuring 600 miles and from east to west 400 miles. It is an erosional plain with rolling topography, quite different from the very flat Yellow River Plain of alluvial origin. Except for three narrow gaps

the Manchurian Plain is everywhere surrounded by mountains. On the east are the Long White Mountains, to the north is the Little Khingan Range, to the west is the Great Khingan Range, and to the southwest are the mountains of Jehol Province. The eastern Manchuria uplands, about 200 miles in width, extend northeast from the Liaotung Peninsula for 850 miles, almost to the confluence of the Amur and Ussuri Rivers. The highest elevations are along the Korean frontier, where the volcanic peak of Paitou Shan rises to 8,990 feet. The uplands bordering the Manchurian Plain on the north and west cover 168,000 square miles. The elevations are commonly about a mile high, but the local relief is less than 1,000 feet. The Great Khingan Range area extends along a north-south axis. Toward the south this is largely the upturned edge of the Mongolian Plateau; farther north the region widens and is less perfectly known.

*Region 2.* The North China Plain includes Hopeh and Shantung Provinces, most of Anhwei and Kiangsu, and part of Honan and Hupeh. This great plain stretches south from Linyu on the east coast of Hopeh to the Yangtze River Delta. Inland it is bordered on the northwest and west by the Great Wall and by Shansi Province as far south as the Yellow River, then southward by the eastern slopes of the Funiushan and the Tapashan. The Yangtze River and its lake region constitute the southern limit. With the exception of the Shantung Peninsula and central Shantung, the entire area is low-lying and flat, bare of trees, highly cultivated, and densely populated. In northern Anhwei and eastern Honan the land is hilly. The southern and eastern sections contain numerous waterways and lakes. The only mountains in the North China Plain are in central and eastern Shantung. These form more or less isolated blocks and have no connection with the Chin-ling and other ranges to the west.

*Region 3.* The Gobi-Ordos Plateau includes the Provinces of Ningsia, Suiyuan, Chahar, Shansi, and part of Shensi. It is an elevated arid region characterized by desert conditions and by the presence of *loess*, or "yellow earth." It is bounded by the Mongolian Republic on the north, by Kansu on the west, by the Wei Valley and a small section of the Yellow River on the south, and by the Great Wall and Hopeh Province on the east. The eastern strip of this great area is hilly, with mountains that reach 8,200 feet in height flanking the Fen River. Because of frequent dust storms, *loess* has been carried by the wind from the desert and deposited in deep pockets and thin coverings all the way from Taiyuan down the Fen River to the Wei River Valley in Shensi and to the east as far as Hopeh. The fertile *loess*-covered uplands as a whole form a broad semicircular belt from Jehol in the east to Kansu in the west, occupying nearly one-third of the total area of Inner Mongolia.

*Region 4.* The Central China Basin includes most of the province of Szechwan and parts of Shensi and Hunan. It comprises some of the most fertile country in China, and the whole region is densely populated and self-contained. It includes the Red Basin of Szechwan, which is a depression surrounded on all sides by the high mountains of western China. Its main rivers are four left-bank tributaries of the Yangtze, which give Szechwan its name, meaning Four Rivers. It is a vast basin of red sandstone (whence its name, Red Basin) divided by river action into uplands

and broad fertile valleys. The region is difficult of access; its only natural connection with the eastern part of the country is by the Yangtze Valley.

(2) *China South of the Yangtze River.*

*Region 5.* The South China coastal region includes Chekiang, Fukien, Kwangtung, and Kiangsi Provinces and parts of Hunan, Anhwei, Kiangsu, and eastern Kwangsi. With the exception of the Canton Delta, the country is higher and hillier than that north of the Yangtze, ranging in elevation from 1,600 to 3,300 feet. Extending diagonally across the coastal region southwest from Ningpo on the Chekiang coast to southern Kiangsi and Hunan, is a series of ridges that, after crossing Chekiang and Kiangsi, follow the Kiangsi-Kwangtung border until they meet the highlands of southwestern Hunan. From this point westward they continue their upward trend until they reach the heights of the lofty Himalayas of northern India. The Yangtze and the Hsi (West) are the two great rivers of this southern region, which, because of its abundant water and good soil, is highly cultivated.

*Region 6.* The broken highlands of Southwest China include Kweichow and Yunnan Provinces, western Kwangsi, and the southwestern tip of Szechwan. The term "broken highlands" both describes the abrupt character of the land and emphasizes the average high level maintained. The over-all land level in southern Yunnan slopes upward toward the north, from 6,500 feet to 8,200 feet. The many valleys in the southern section are those of the headwaters of the Fuling (Red) and Hsi (West) Rivers. Here, the general trend of the main blocks is southeast to northwest. Kweichow is also very mountainous, with a great semicircular range extending from the western limit of the province to the northeast corner around the broad curve of the Wu River on its sweep to the Yangtze. Along the Yangtze in northeastern Yunnan the country is low and damp and, in general, sparsely inhabited. On the high plateau along the shores of the lakes, the climate is healthful and the country more thickly populated. Forests and shrubbery cover most of the slopes.

(3) *West China.*

*Region 7.* The high mountain region of West China, which includes Sikang, Tsinghai, Kansu, and Sinkiang Provinces, and Farther Tibet, occupies by far the greater part of West China. It comprises the vast expanse of high plateau and mountains north of the Yunnan border and west of the Central China Basin as far north as Ningsia. Some of the highest mountains in the world—rugged, bare, and with many peaks perpetually snow-covered—form part of this sparsely populated mountain system. The central plateau of Tsinghai is occupied in its southern half by the great Tsaidam marshes, the source of the Yellow River. The great lake of Koko Nor lies east of the marshes. In Farther Tibet, to the west of Tsinghai and Sikang, lies a series of rugged mountains and basins. The vast province of Sinkiang, in the northern part of the region, consists of the broad desert plateau of Takla Makan, which is surrounded on all sides by mountains—the western Kunlunshan on the south, the Altaishan on the north, and the Pamirs and the Tienshan (9,800-16,400 feet) on the west. The latter penetrate inward from the western border at its middle point and extend all the way across the province.

*b. Climatology.*

Inasmuch as China is situated on the eastern side of the Asiatic continent and the prevailing air currents in winter are from the west, the climate in this season is not greatly affected by the ocean. In summer the heating of the central land mass gives rise to a low pressure area, which causes, to some extent, a reversal of the circulation. This is known as a monsoon.

The average number of typhoons striking the coast of China is one every other year in June; two a year in each of the months of July, August, and September; and one a year in October. They are infrequent in May, November, and December. There is reason to believe that typhoons are not destructive farther than about 200 miles inland.

Thunderstorms occur mainly from April through September, on an average of 20 days in the south and of 5 in the north. Maximum frequency is in the warmer months.

(1) *Temperature.*

In general, temperatures decrease from south to north and from the coast inland. In winter, average temperatures decrease from 65° F. in the south to about 20° F. in the extreme north. The lowest temperatures on record are about 32° F. in the south and about —45° F. in the north. In summer, average temperatures decrease from about 85° F. in the south to 65° F. in the north. The highest recorded temperatures are from 90° to 115° F.

(2) *Precipitation.*

In general, annual precipitation amounts decrease from southeast to northwest, from about 80 inches to 7 or 8 inches. In winter, precipitation ranges from about 10 inches in the southeast to an insignificant amount in the northwest; in summer, from about 50 inches in the southeast to less than 5 inches in the northwest. Most areas have a maximum rainfall in June or July and minimum precipitation in December or January.

(3) *Winds.*

Surface winds are mainly from northerly directions in winter, when air from the Asiatic High flows over China and out over the Pacific (winter monsoon). In summer a southerly flow prevails, with air flowing from the Pacific into the continental *low* (summer monsoon).

Winds at 10,000 feet are westerly in winter, with average speeds of about 17 knots. In summer they are from the northwest over north and central China and from the southeast over southern China, with speeds of about 9 knots.

# APPENDIX I

## TAIWAN (FORMOSA)

1. INTRODUCTION.

Taiwan (Formosa), under Japanese rule for fifty years, reverted to *de facto* Chinese control in October 1945, two months after the surrender of Japan. In the two succeeding years, the Chinese administration, because of its inefficiency and corruption, dissipated the economic resources of the island, and abused the industrial plant built up by the Japanese, so that the very valuable contribution which the island could have made to the Chinese economy has been unrealized. Consequently, discontent and unrest have spread widely among the Taiwanese, and the strong sentiment against the National Government of China has taken the form of a popular movement for local independence. This movement can be expected to continue, and further uprisings and violence may be anticipated.

2. THE BACKGROUND.

*a. Geography.*

Taiwan, a long oval-shaped island lying 70 to 100 miles off the Chinese coastal province of Fukien, has an area of nearly 14,000 square miles, with two-thirds of that area constituting a mountain barrier extending from the northern to the southern tip throughout the eastern half of the island. The climate is tropical, with high rainfall well distributed throughout the year. Between Taiwan and the Chinese coast lie the Pescadores Islands, some 64 small islands administered as part of Taiwan proper. The Pescadores have little economic importance, but were of some strategic significance to Japan during the war.

*b. Population.*

The population of Taiwan is about six and a half million, made up mostly of Taiwanese Chinese, who number about six million. Eighty percent of the Taiwanese-Chinese came originally from Fukien, with the majority of the remainder coming from Kwangtung Province. Smaller elements of the population are Taiwanese aborigines and Japanese. The aborigines, totaling about 225,000, live in the island's mountains and maintain their own various tribal organizations and social systems. The present Chinese administration has announced no policy toward these aborigines, but there is no reason to believe that the administration will deal with the situation so wisely that the traditional animosity of the aborigines toward the Chinese will be overcome. Japanese civilians numbered about 400,000 at the time of surrender, and have now all been repatriated except for a handful of technicians.

*c. Agriculture.*

Taiwan has largely an agricultural economy. Ninety percent of the arable land, which lies chiefly along the west coast, is under cultivation, with most of the farm-

ing done on small farms of from one to three acres. One-third of the peasants are tenant farmers, and another third lease some land to augment their small holdings. Rice and sugar form over half the total production, constituting important items of export. Considerable quantities of potatoes, tea, pineapples and other fruit are grown.

*d. Industry and Trade.*

Refined sugar, produced in great quantity under the Japanese, constitutes a key industry in the Taiwan economy. Other important industries are camphor production, pineapple canning, and the manufacture of chemicals, aluminum, and other metals. Taiwan had in 1939 a favorable balance of trade, most of it going to Japan. In that year the island's exports amounted to US $154 million, consisting especially of sugar, rice, bananas, and canned pineapple. Principal markets were Japan, China, the US, and the Netherlands East Indies. Imports in 1939 totaled US $106 million. Practically all of the trade of the island passed through the port of Keelung, at the northern tip of the island.

*e. Government.*

The Japanese Government on Taiwan was a highly centralized organization which granted no real representation to the Taiwanese. Relations between the Japanese and the Taiwanese were never friendly, since the Japanese, in all fields, maintained the position of conquerors. Although the Japanese allowed some improvement in the standard of living of the Taiwanese, the Taiwan population was eager to rid itself of Japanese domination.

The civilian authorities of the Chinese Government at present rule the island as a province of China. When the Chinese first took over control of Taiwan, it was placed under the control of the Executive Yuan; provincial status was not granted until the government reorganization in May 1947. The Provincial Chairman or Governor, appointed from Nanking, acts as head of the provincial government and of the local Kuomintang. The organization of the government is similar to that in the provinces on the mainland except that the Governor theoretically controls the military in the island. The Taiwanese have representation on the Provincial Commission and the People's Political Council, but, although these representatives may be of Taiwanese origin, they are often men educated on the mainland whose interests are no longer identical with those of the Taiwanese. The National Government has promised the Taiwanese that popular elections for municipal and *hsien* officials will be held, but not until similar elections are conducted on the mainland.

3. CURRENT SITUATION.

When Taiwan, in October 1945, reverted to Chinese control, the Taiwanese gave a warm welcome to the new National Government regime. High hopes were held that the allied triumph would mean for Taiwan new prosperity and close friendly ties with the mother country, but disillusionment set in quickly. The head of the National Government authority in Taiwan was Chen Yi, a man from Chiang Kai-shek's own province at Chekiang and a member of the inner circle of the Kuomintang. Chen Yi's corruption and maladministration, coupled with the terroristic methods of the secret

police under his control, quickly led the Taiwanese to the conclusion that he had come as conqueror rather than liberator. Although the industrial plant on the island had suffered from undermaintenance and was damaged by allied air attacks, there was still sufficient operating capacity on Taiwan at the time the Chinese took over to produce significant quantities of goods badly needed by the deteriorating mainland economy. Rather than exploit the Taiwan industries to their fullest possibilities, however, the Chinese authorities, through greed, nepotism, incompetence, and dishonesty, reduced the industrial output of the island to a fraction of what it had been under Japanese control. All Japanese enterprises were reorganized into monopolistic companies which were brought under the control of the syndicates headed by friends and relatives of the controlling group. Capital assets began to vanish. Dismissal of Taiwanese who were competent and skilled was carried out in order to make way for Chinese mainlanders. Vicious military rule alienated and embittered the people.

In late February 1947, the undercurrent of unrest found expression. The killing of a woman by police in late February 1947 was the occasion for a spontaneous uprising that spread throughout the island. The revolt was aimed at implementation of government reform and not overthrow of the Chinese regime. Chen Yi's assurances that these reforms would be carried out brought temporary peace, but, with the arrival of armed support from the mainland, Chen Yi launched a vigorous military campaign against the offenders. Loss of life was high, and the revolt was put down. Finally, when a wave of protest, both Chinese and foreign, grew against Chen Yi, he resigned and was replaced in May 1947 by Wei Tao-ming, once ambassador to the US. Although Wei himself has not been accused of corruption, his rule has failed to correct any of the basic ills of the former regime. The power of the secret police has not diminished; there has been no increase in local autonomy for the Taiwanese; economic conditions have not improved. Definite plans have been made to turn commercial enterprises organized by Chen Yi over to private ownership, but little progress has been made in this direction.

Two other sources of irritation have worsened the situation. First, the presence of Nationalist troops on the island—their numbers have increased with the inauguration of a training program on Taiwan—has been strongly resented. Sensitivity to the presence of troops has grown with the tactics employed by the government during the March 1947 incident, and has been augmented by the failure of Wei Tao-ming to curb the ascendancy of the military. Second, the Taiwanese have been subject to conscription into the Nationalist armies. The Taiwanese objected strongly to Chinese military service, particularly since they are employed on the mainland against the Chinese Communists. They do not regard the Government-Communist struggle as their problem.

In general, the effect of all these conditions has been the acute exacerbation of Taiwanese dissatisfaction with the National Government. This dissatisfaction has found expression in the strong sentiment for local autonomy which now appears to be widespread among the Taiwanese. Agitation for the attainment of that autonomy has been growing, and it has been rumored that the Taiwanese will request that their inde-

pendence be established by the Japanese peace treaty, which must formally determine the disposition of the island.

There is as yet little indication that the discontent of the Taiwanese has led any considerable numbers of them to the Communist camp. There were no Communists on Taiwan when the Japanese surrendered, and at the close of 1947 there were still no considerable numbers of them, and no Communist military strength, on the island. However, the opportunity for the spread of Communist influence, here as elsewhere in China, has been created by Nationalist incompetence and greed, and the island is at present a fertile field for Communist propaganda.

The US maintains part of its Army Advisory Group on Taiwan. The Chinese Communists have launched a propaganda attack against the presence of US troops on the island, alleging that the US has already "seized control of the economic life of Taiwan . . . with American capital having penetrated all important industries." Accusations of a similar nature emanate from the Right also, apparently inspired by certain groups within the National Government. This Nationalist propaganda effort is evidently following a definite pattern and is systematically reflected in the organs of the Government-controlled press.

This propaganda reflects one side of the dilemma now facing the National Government in Taiwan: the desire that all Chinese territory be placed under immediate Chinese control, with no foreign participation. The Chinese Government secured a pledge in the form of the 1943 Cairo Declaration (reiterated in 1945 at Potsdam and in the Japanese surrender terms) that Taiwan would be returned to the Chinese, and national sensitivity to issues of this kind demands that this pledge be carried out. The National Government's fear—however baseless—that the US will encourage Taiwanese opposition groups or has "imperialist" intentions toward Taiwan, has doubtless motivated the propaganda effort to arouse popular opinion against the US in that area.

The other side of the dilemma is presented by the patent incompetence of the Chinese regime and the need for US economic aid to prevent the island from eventually drifting toward Communism or becoming the scene of a series of costly rebellions, especially dangerous because, with the precarious military situation on the mainland, the government cannot afford to spare troops elsewhere. Realization of these possibilities has led Chiang Kai-shek to hearty endorsement "in principle" of some form of joint US-Chinese administration over Taiwan, with emphasis on economic rehabilitation. US Ambassador Stuart has expressed the opinion that Chiang would be willing to act in favor of such a plan because of his awareness of the growing Taiwanese autonomy movement under capable leadership. However, although Chiang would welcome concrete proposals of US economic assistance in rebuilding Taiwan, he would also probably balk at any far-reaching US controls over that assistance or at US insistence upon political reforms.

4. FUTURE TRENDS.

With the rapidly weakening position of the National Government, there is little possibility that the character of the administration of Taiwan will materially improve.

Consequently, it is likely that the island will continue to be the scene of unrest and occasional uprising. Discontent is at present reported to have led to the formation of a sizable underground movement in Taiwan, although the extent of the organization of this underground, and its military strength, cannot be determined. The discontent of the Taiwanese will probably lead to future agitation for independence. Final decision regarding the status of Taiwan will not be made until a peace treaty with Japan is concluded. There seems at present little chance, however, that independence will be attained inasmuch as the declarations of Cairo and Potsdam, as well as the terms of the Japanese surrender, militate against it. There is a possibility that the islanders may turn, for want of other alternatives, to the Chinese Communists, but in view of the lack of the Communist strength on Taiwan at present, and the physical isolation of the island from the mainland, Communist penetration of the island is not an immediate threat. The most likely eventuality is that Taiwan's present uneasy status will continue unrelieved in the near future, with the island's final fate depending on the outcome of the struggle on the mainland.